2026 outlook

Global M&A trends in financial services

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In 2026, financial services M&A is being shaped by technological disruption, stabilising rates, evolving regulation and intensifying competition. Private credit's growth and firepower is accelerating sector convergence and redefining deal strategies.

by Christopher Sur

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Financial services dealmakers look for scale, cost-efficiency, and tech-driven transformation

High-value dealmaking in financial services accelerated over the past year, with an uptick in deals above $1bn and megadeals over $5bn, and we expect that momentum to continue in 2026. Across all financial services segments, key M&A themes remain the push for scale and cost efficiency to lift earnings and address increased competition, including from private credit. These pressures are spurring domestic consolidation, selective cross-border expansion, tech-driven transformation, and capability-led acquisitions. In some markets, changes in banking capital requirements, such as recent easing in the US and the UK, could support further M&A activities across the financial services sectors.

While the value of global financial services deals increased 25% in 2025 from 2024, transaction volumes increased by a more modest 4%. This confirms the increasing number of sizeable deals and megadeals. Nevertheless, this divergence between deal values and volumes reflects ongoing uncertainty around economic growth and the trajectory of interest rates, alongside concerns about asset quality in loan portfolios, and the effects of geopolitical shifts, including the impact of new tariff regimes. Even so, dealmakers are increasingly adapting to this new backdrop, using M&A as a strategic tool to reposition portfolios and shape future growth.

a glance, we expect M&A activity in 2026 across the financial services sectors will be driven by the following trends:

Banks continue to consolidate, primarily within domestic and regional markets, while sharpening their focus on core businesses. Some are also pursuing acquisitions of insurers and asset managers and exploring partnerships with private credit funds. Payment providers will continue to attract M&A interest.

Insurers are reshaping their portfolios by exiting lower-return lines and doubling down on pensions and new digital business models. The separation of investment management businesses from the risk carriers is expected to continue. Investors' focus on insurance brokerage rollups remains, although the pace is moderating in the US and in the UK as the strategy spreads to new markets, including Asia.

Asset and wealth managers are seeing an uptick in mergers among mid-tier firms looking to improve efficiency, expand distribution, and enhance access to private markets.

We are also seeing significant regional variance in deal activity, with signals of revitalised growth in Asia—particularly in China, India and Japan—and in the US, where regional bank consolidation and recapitalisation remain key themes. The rebound in Europe has been more selective, focused primarily on Italy and the Nordic countries. The largest deals in recent months include Fifth Third Bancorp's $10.9bn acquisition of Comerica and the $7.4bn take-private deal for Air Lease Corporation led by Sumitomo Corporation, SMBC Aviation Capital, Apollo and Brookfield.

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> 'The continuing megadeals in financial services are a reflection of the need for scale and tech-driven transformation, as well as an increasingly positive sentiment towards M&A. For 2026, we expect this trend to continue with a steady progression of deals, especially megadeals, depending on how geopolitics and the impacts around asset quality play out.'
>
> **Christopher Sur,** Global Financial Services Deals Leader, PwC Germany

Spotlight on

Private credit and M&A

The implications of private credit's growth for M&A

A common theme across banking and capital markets, insurance, and asset and wealth management (AWM) is the growth of private credit, which is disrupting traditional market norms and driving greater convergence between the sectors. An increasing portion of banking and capital markets deals in the US and Europe are being funded by these alternative funds. This shift is increasingly influencing deal rationale, buyer universes, and transaction structures across financial services.

ivate credit represents a structural shift in financial services

In particular, private credit has grown very rapidly in the past decade to become an asset class with a size of $2tn and beyond in assets under management by funds globally, but its growth trajectory still has a long way to go. We view its growth as a potentially generational shift that is likely to create unique deal opportunities as it directly funds deals in different ways and take market share from traditional banking participants. Private credit thus presents a unique set of opportunities for the range of players in financial services, with important implications for M&A.

Credit funds rose to prominence in the aftermath of the 2008 financial crisis, filling the gap left as banks retreated. Initially concentrated in sponsor-backed direct lending, private credit has since expanded into a much broader array of strategies, with credit now flowing across retail, corporate, and structured lending markets. Total returns in private credit have outpaced those of banks, in part because these funds are not subject to the same capital requirements and regulatory constraints—although regulatory scrutiny continues to evolve. As a result, banks increasingly view private credit funds not only as competitors, but also as potential partners.

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Where private credit is influencing M&A and deal strategy

First, growth in the number of direct lenders in M&A situations in the mid-market and for large-capitalisation companies continues and we expect this will support further growth in M&A across all sectors. Private credit is also innovating by providing preferred equity and other bespoke financing solutions to large corporates that have historically relied on public markets or traditional bank relationships.

Second, credit funds have become M&A targets as scaled asset managers and private capital firms look to add origination capability and deepen credit platforms. Recent deals include Franklin Templeton's acquisition of European private credit firm Apera Asset Management, completed in October 2025, and Brookfield's proposed purchase of the remaining approximately 26% interest in Oaktree announced in October 2025. We expect this theme to persist as buyers look to deepen private credit capabilities, demonstrate multi-asset-class strategies, and leverage credit capabilities across origination, structuring, and distribution.

Third, insurers' allocations to credit funds have expanded in recent years. An alternative strategy is for insurers to set up or potentially acquire their own credit asset management capabilities. This approach enables them to deploy their own insurance balance sheets more directly while also raising third-party capital from limited partners. Recent examples include Manulife Investment Management's acquisition of multi-sector alternative credit manager CQS, as well as Generali Investments' acquisition of a 77% stake in MGG Investment Group and its affiliates through its wholly owned subsidiary, Conning & Company.

Finally, credit funds are increasingly partnering with banks to provide customers with structured finance solutions, recognising that collaboration can provide a faster and more efficient route to market. Recent examples include an agreement between Citigroup and Carlyle Group to exchange market intelligence and explore co-investment and financing opportunities, and the strategic partnership between UBS and General Atlantic, focused on private credit opportunities to enhance access to a broader set of direct lending and other credit products.

Strategic choices for banks, insurers and asset managers

As this private credit-driven convergence of asset management, insurance, and banking plays out, the opportunities outlined above are likely to accelerate while new ones emerge. Banks, insurers and asset managers will need to make clear strategic choices about how to position themselves to defend and grow their market share and create value.

Global M&A volumes and values in 2025

Financial services deal volumes and values, 2016-2025e

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Click on the tabs below to view deal volumes and values by region.

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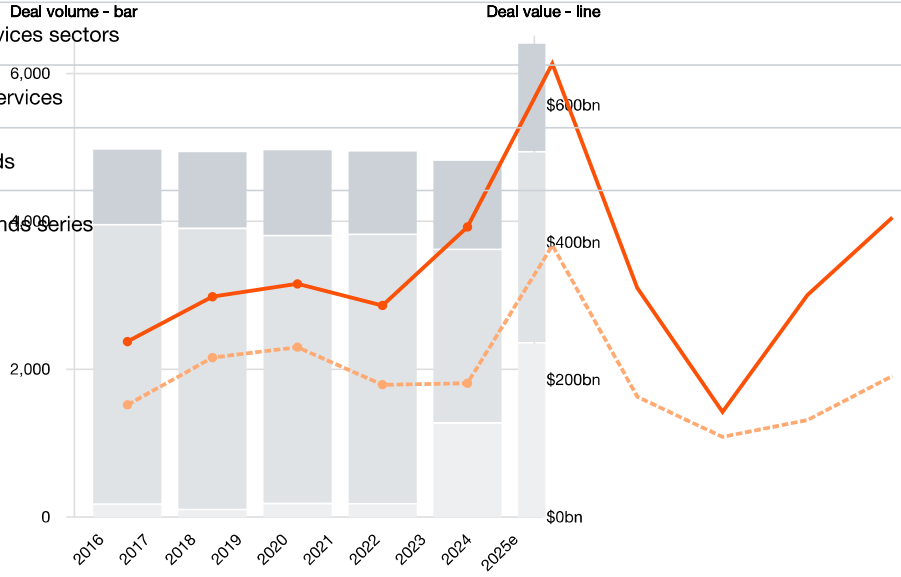
Global | Asia Pacific | EMEA | Americas

Asset and wealth management | Banking and capital markets | Insurance

Deal value | Deal value (excluding megadeals)



Note: 2025e is a PwC estimate to improve year-on-year comparability, adjusting for a reporting lag. Refer to the "About the data" section for further information.
Sources: LSEG and PwC analysis

Global financial services M&A values rose by 25% in 2025, and deal volumes increased by a more modest 4%. Growth in deal value was largely attributable to an increase in the number of megadeals (transactions valued at greater than $5bn), which rose from 14 in 2024 to 21 in 2025. Of those 21 megadeals, 13 occurred in banking and capital markets, with asset and wealth management and insurance each accounting for four transactions.

Europe, the Middle East, and Africa (EMEA) recorded the largest year-over-year increase in deal value, up 86%, supported by several large banking and insurance transactions announced in Europe during the year. Deal values in the Americas rose by 9%, with regional banking and payments activity contributing to a 50% increase in banking and capital markets deal values. By contrast, a lower number of insurance megadeals in 2025 was the primary driver of a 27% decrease in deal value within the insurance sector. In Asia Pacific, deal values rose 12%, as the number of megadeals increased from two in 2024 to five in 2025.

Deal activity grew fastest in the Americas, with volumes increasing 7% year-over-year. EMEA deal volumes rose by 5%, and activity in Asia Pacific remained broadly flat.

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Global M&A trends in financial services by subsector

Below we outline the key trends we expect to drive M&A activity across banking and capital markets, the insurance sector, and asset and wealth management in 2026.

Banking and capital markets

Insurance

Asset and wealth management

M&A outlook for financial services in 2026

We expect momentum in financial services M&A to continue in 2026, particularly at the larger end of the market, as banks, insurers, and asset managers navigate an increasingly competitive and complex operating environment. With interest rates stabilising and regulatory frameworks in key markets becoming more supportive of consolidation, firms are likely to have greater confidence to pursue strategic transactions.

At the same time, long-standing pressures around capital efficiency, technology and AI-related investments, and resilience are intensifying, reinforcing the need to reshape portfolios, sharpen strategic focus, and build scale in a cost-effective way. Private credit has emerged as a critical wild card in this landscape, accelerating convergence across financial services sectors and reshaping traditional deal dynamics.

out the data

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Insurance Banana

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Global contacts

Christopher Sur

Global, EMEA and Germany Financial Services Deals Leader, PwC Germany

Email

Matthew Phillips

China Financial Services Leader, Partner, PwC China

Email

Francesco Legrenzi

Global and EMEA Asset & Wealth Management Deals and Strategy Leader, PwC Italy

Email

Michael Mariani

Principal, PwC US

Email

Local contacts

Stephen Jones
Partner, PwC United Kingdom
Email

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